The AI Music land grab

Why every major label is suddenly signing AI deals

—By **Vyom Ramani**

It was just two years ago that Universal Music Group had its teeth into suing various AI music start-ups. And now, it signed a multi-year strategic partnership with one of them. It isn't contradictory. That's the strategy at work as planned. On September 10, Universal Music Group and ElevenLabs announced a licensing agreement and "wider strategic collaboration" to create a new music platform powered by AI where the fans can create their own versions of music featuring participating artists. This is the first deal ElevenLabs has made with a major record label. The language used in the announcement speaks of "responsible AI" and artists getting a part of "the value created," and it may be well-intended, but to me, it sounds like an old tale: UMG sued AI music start-ups not for the music but to find the cost.

The lawsuit was the first bid

For two years, UMG and Udio were locked in a battle over copyright. But in October 2025, that concluded in the form of a settlement. However, "settlement" hardly describes it. In fact, UMG and Udio have inked new licensing deals in terms of recordings and publishing, compensation, and have agreed on the launch of a licensed subscription service under the brand name Udio in 2026.

Compare this to the recent ElevenLabs deal. Not to mention Suno, which has reached a similar agreement with Warner Music, BMG, and Believe right after UMG and ElevenLabs. Three major label agreements with three separate AI firms, arriving within 48 hours from each other. Coincidence would be too mild a term for this phenomenon.

The licensing deals

What ought to be the salient point is not the switch from lawsuit to partnership but the fact that there was never a switch at all. Sue first, prove that you can render the business model of an AI company illegal overnight, then offer a path to salvation that just so happens to involve you taking a piece of it forever.

The quotation by Sir Lucian Grainge in the press release talks about the alignment in making "artists, songwriters, and fans central." Perhaps. But pay attention to what is really being put at the center of the deal structure: UMG's music catalog, UMG's licensing terms, and the ability for UMG to determine who will be able to "participate". The fans receive a remixing utility. The artists receive a promise of compensation.

Why every label is doing this

Nothing here is limited to UMG. The AI music startups needed these deals far more than the labels did. ElevenLabs has been rapidly entering the music space over the past year, and a product based on training data without licenses can be shut down with one lawsuit. Suno was in the same position and sought the same solution. Once one of the major labels gets a deal done, every other unsigned AI startup is suddenly in competition with a legitimate rival when it doesn't even have one.

UMG didn't lose its battle with AI music, nor had it changed its mind about "responsible innovation." UMG won the battle in private, in such a way that the only remaining AI music startups are paying the label to stay in business. The lawsuits weren't the antithesis of this deal; they were the down payment on it. **tinyurl.com/rg3gf3**

[SHORTS]

Meta Muse AI: Meta's AI agent that can send emails and book travel on your behalf



Meta has introduced Muse, a personal AI agent that can perform everyday tasks such as sending emails, booking travel and filling online forms. Powered by Muse Spark, it can create plans, work on tasks over time and request approval for sensitive actions. Muse operates within a dedicated Secure VM to protect user data and connected services. **tinyurl.com/fcy879e2**

Anthropic researcher quits the company over out of control AI fears, says it may kill us all



Anthropic researcher Jacob Coxon has resigned, warning that the race to develop increasingly powerful AI systems is moving too quickly. He argued that companies such as Anthropic and OpenAI are underestimating risks, including the possibility of AI becoming capable of hacking systems and acquiring resources. Coxon said some AI researchers privately fear existential risks. **tinyurl.com/d23tgrfed**